INVESTMENTS · SENIOR ANALYST TO PORTFOLIO MANAGER · HOLDINGS GATE REVIEW

After the AI Pullback: Updated Gates for Every Holding

The semiconductor index had its worst week since April 2025 and the Nasdaq fell 4.5%. The book finished roughly flat. This report re-marks every position, separates what the tape repriced from what the fundamentals changed, and resets the add, hold and trim gates for the next two weeks of earnings.

PRICES	HOLDINGS BASIS	PREPARED	MANDATE
Close, Fri. Oct 16, 2026	**v53 + documented v61 changes**	**Sun. Oct 18, 2026**	**Total return · $80K pension floor**

Executive summary

The pullback repriced the AI complex; it did not change the theses we own. Three things drove the week: Broadcom's CEO likening AI investors to gamblers on Monday, a Gartner forecast on Wednesday that over $3.5 trillion of AI infrastructure spend could face impairment by 2030 (and that most neoclouds will not survive independently), and renewed worry about debt-funded data-center buildouts. Hot CPI and PPI added rate pressure early, though the 10-year actually eased to ~5.10% by Friday and hike odds for the Oct 27–28 FOMC fell to ~17%. The two AI names that reported, TSM and ASML, both beat and raised. The market is now separating AI *self-funders* from AI *borrowers*; this book owns the former and none of the latter.

PORTFOLIO VALUE	WEEK CHANGE	AI CLUSTER + HYPERSCALERS	DEFENSIVE + FINANCIALS	DIRECT SEMIS
$1.726M	**-0.10%**	**24.0%**	**37.4%**	**5.50%**
incl. $43K cash (to reconcile)	−$1,690 vs. S&P −1.95%, Nasdaq −4.48%	week P&L −$20,271	week P&L +$18,660	NVDA, AVGO, TSM, ASML, QCOM

What we recommend this week

- **Put the first dollars into VXUS and AVUV.** Deploy the $43,000 cash line 2/3–1/3 (~$28,700 VXUS / ~$14,300 AVUV). The combined gap to target is ~$183,262; this week is the regime the diversifiers exist for, and they have not been funded in four workbooks.
- **Open the TLXIX trim review.** At 9.4% it is over the 8% hard ceiling; trimming to 8% frees ~$23,402 for the same 2:1 split, subject to account location.
- **Staged single-name adds only with incremental capital:** TSM (in band), ASML (gate met; fund instead of NVDA), UBER (≤$72). ADBE is 2% above its gate.
- **Do not pre-empt the prints.** META (Oct 21), MSFT/GOOG/GEV/GEHC (Oct 28) and AMZN (Oct 29) decide whether this was a sentiment reset or the start of a capex cut.

What we are not doing

- **No NVDA adds.** Price is inside the $205–220 zone, but 53 shares (~0.66%) is already over the ~0.5% guideline after three straight adds. Sizing is the binding gate.
- **No AVGO adds.** −9.1% on the week and ~50% below Morningstar FV, but it is the largest direct semi. Weight, not valuation, is the constraint.
- **No chasing the rotation.** KO, SO, XOM, MA and V rallied 4–7% and most now trade above fair value. No new money there — this is a growth mandate.
- **No trimming compounders for macro.** AMZN (7.5%) and AAPL (6.8%) are held; trim review only above the 8% ceiling.

Data caveat — holdings basis. The latest workbook in the project is retirement-portfolio-53 (Sep 28). House research from Oct 15 documents a later v61 workbook with changes to NVDA (53 sh), TSM (38), UBER (77), GEV (30), GRID (61), VIS (6), a new ADBE position (34) and a $43,000 cash line. Those are applied here; every other quantity is v53. Mutual funds (TLXIX, VFFSX, FSSNX, FSMDX; ~15% of the book) are marked by proxy ETF moves from their v53 NAVs. Please drop the current export into the project so the next edition marks from source.

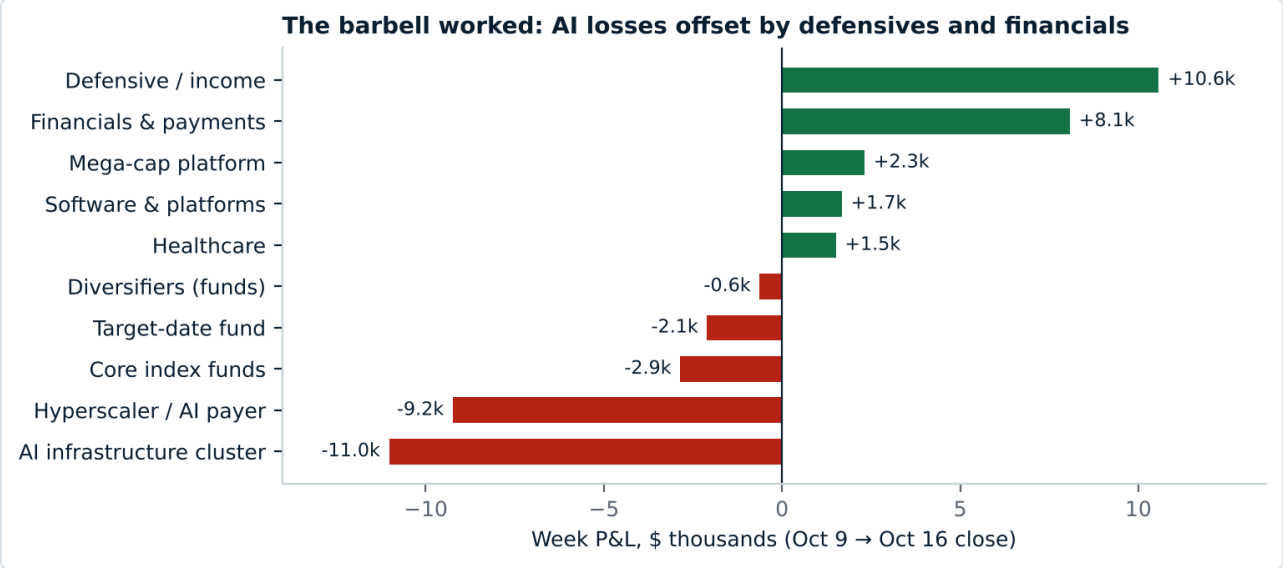
What happened, and what it means for this book

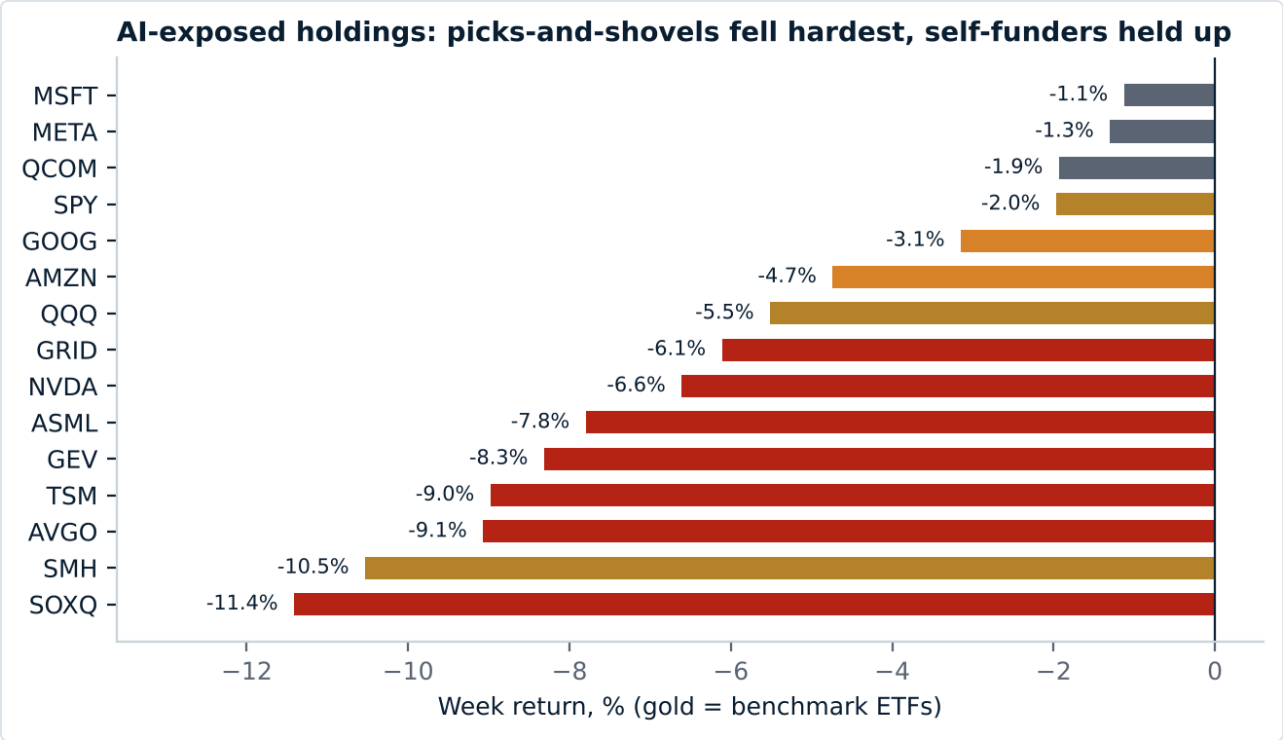
The tape (Oct 9 → Oct 16)

- S&P 500 −1.95% (worst week since June); Nasdaq −4.48%; Dow +0.67%; Russell 2000 −3.05%.
- SOX −11.41% over eight straight down sessions; tech sector −7.7%. Staples +5.0%, energy +4.9%, healthcare +3.5%.
- Listed neoclouds averaged −22%; CoreWeave fell ~12% Friday alone. NVDA −6.6% for the week.
- WTI +10.4% to ~$101; Brent ~$110 on Hormuz tanker attacks. VIX ~20, highest since late July.
- 10-year 5.24% → 5.10% despite CPI 3.7% / PPI 6.3% y/y; FOMC hike odds ~17% for October, ~89% by December.

Analyst read

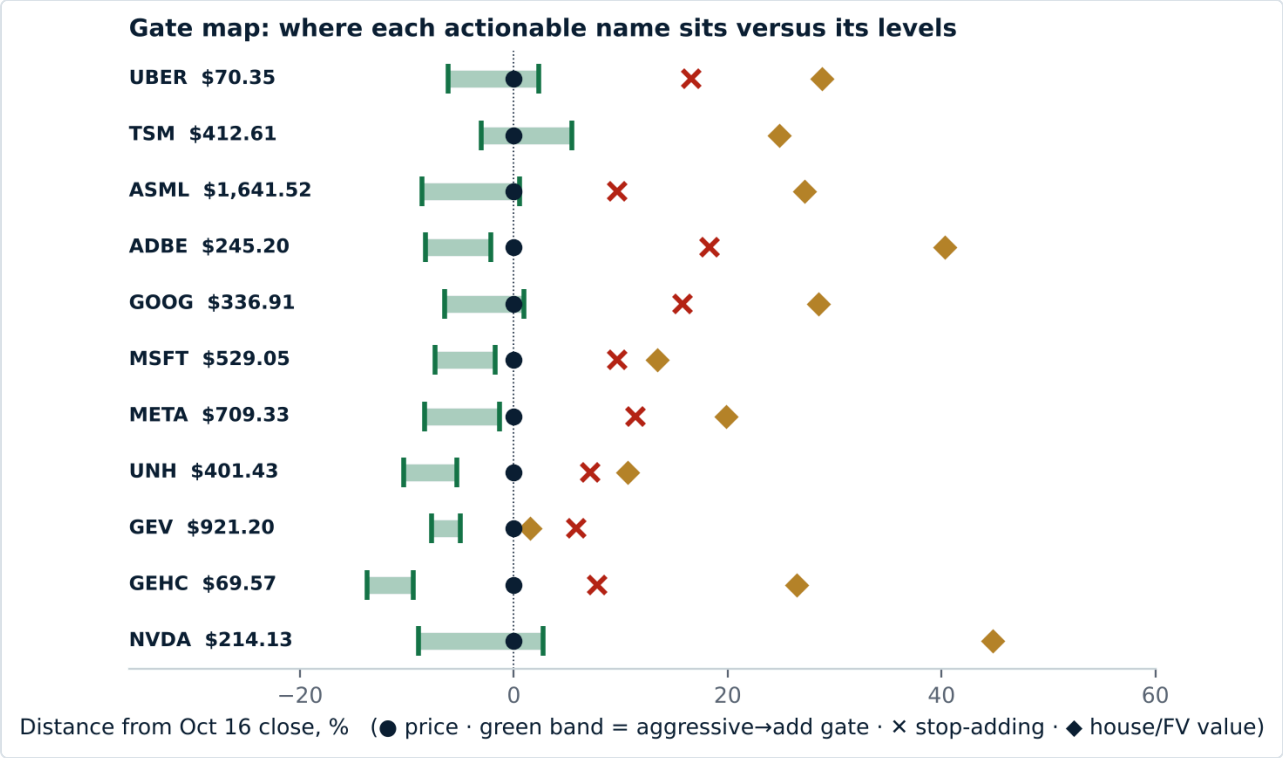
- **Sentiment, not earnings.** TSM (revenue +41%, Q4 guide $52–54B) and ASML (sales +55%, FY raised, 2027–28 EUV supply short of demand) both beat and raised and still fell 8–9%. The cash-flow evidence moved one way; the multiple moved the other.
- **Self-funders vs. borrowers.** The selling concentrated where buildouts are debt-funded. Our hyperscalers (MSFT −1.1%, META −1.3%, GOOG −3.2%) held far better than our suppliers (AVGO −9.1%, TSM −9.0%, GEV −8.3%).
- **The real test is two weeks out.** If the Oct 21–29 prints reaffirm capex funded from operating cash flow, the supplier discount is an entry. If capex guides are cut, TSM/ASML/NVDA/AVGO face a genuine estimate reset — the one thing this week did not deliver.
- **Strip-the-noise flag:** NVDA holds ~10% of CoreWeave. Its Q3 FY27 GAAP EPS will likely carry an equity-securities loss — the mirror of the $15.9B gain we stripped from Q1. Value NVDA on operating earnings.




AI-exposed holdings: picks-and-shovels fell hardest, self-funders held up
MSFT
META
QCOM
SPY
GOOG
AMZN
QQQ
GRID
NVDA
ASML
GEV
TSM
AVGO
SMH
SOXQ
-1.1%
-1.3%
-1.9%
-2.0%
-3.1%
-4.7%
-5.5%
-6.1%
-6.6%
-7.8%
-8.3%
-9.0%
-9.1%
-10.5%
-11.4%
−12
−10
−8
−6
−4
−2
0
Week return, % (gold = benchmark ETFs)

Gate map for actionable names

Each row shows how far today's price sits from the levels that govern the next decision. Names where the dot sits inside or left of the green band are at their add gate today.



At the gate now

TSM $412.61 (band $400–435), **ASML** $1,641.52 (≤$1,650), **UBER** $70.35 (≤$72). Combined, one tranche each is ~$9–10K — only after VXUS/AVUV are funded.

Close — wait for the print

ADBE 2% above gate; **GOOG** 1% below its post-print gate; **META** 1% above; **MSFT** 2% above. All four print by Oct 28 except ADBE (Dec).

Not yet

GEV 5% above the $875 alert; **GEHC** 10% above the $63 accumulation level; **UNH** 6% above $380. **NVDA** qualifies on price but not size.

Updated gates — every holding

Value reference: **House** = probability-weighted (PW) or base-case value from the house research named in Sources; **MS** = Morningstar fair value carried in the v53 workbook; **Workbook** = later workbook annotation. Upside = value reference ÷ Oct 16 close − 1. Weights include the $43,000 cash line.

AI infrastructure cluster · 8.0% of book · week −$11,029

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
TSM TSMC	$412.61	-9.0%	0.91%	$515.00 House PW	+25%	Staged add	$400–435 band (in band)	≤ $400	Stop > $435; cap ~1.25%	Q3 reported Oct 15	Beat-and-raise, now $412.61 — 20% below $515 PW. One tranche; 5 ADRs were added Oct 14.
ASML ASML	$1,641.52	-7.8%	0.67%	$2,088.00 House base	+27%	Staged add	≤ $1,650 (met)	≤ $1,500	Stop > $1,800	CMD Jun 10, 2027	27% to $2,088 base after beat-and-raise. Fund instead of NVDA, not on top of it.
NVDA NVIDIA	$214.13	-6.6%	0.66%	$310.00 MS	+45%	Hold	Price gate met ($205–220)	≤ $195 only with sizing OK	Sizing gate binds at ~0.5% guideline	Q3 FY27 ~Nov 18	53 sh after three straight adds = ~0.66%. ~10% CoreWeave stake: CRWV marks are GAAP noise — strip them.
AVGO Broadcom	$328.75	-9.1%	2.23%	$650.00 MS	+98%	Hold	≤ $300, one tranche after Dec print	—	Weight-gated (largest direct semi)	FQ4 mid-Dec	-9.1% on the week after the CEO's "gamblers" remark. Valuation is not the constraint — weight is.
QCOM Qualcomm	$172.11	-1.9%	1.04%	$170.00 MS	-1%	Hold	≤ $150	—	Above $170 FV — no adds	FQ4 Nov 4 (pm)	Trades ~1% above FV.
GEV GE Vernova	$921.20	-8.3%	1.60%	$935.00 House base	+1%	Wait / alert	≤ $875 (alert set)	≤ $850	Stop > $975	Q3 Oct 28 (am)	-8.3% on the week; still 5% above the alert. Let the print and FOMC land first.
GRID First Trust Smart Grid	$169.84	-6.1%	0.60%	—	—	Hold	≤ $160 (new gate)	—	Do not chase	—	-6.1% on the week; deepens AI-power exposure already held via GEV/VIS.
SOXQ Invesco PHLX Semis	$87.64	-11.4%	0.14%	—	—	Hold — no new money	No adds	—	Redundant with direct semis	—	-11.4%; duplicates NVDA/AVGO/TSM/ASML.
VIS Vanguard Industrials	$320.51	-1.1%	0.11%	—	—	Hold	Decide: rebuild or exit residual	—	—	—	6-share residual after the unexplained trim; keep or clean up.

Hyperscalers / AI payers and mega-cap platform · 22.8% of book · week −$6,923

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
MSFT Microsoft	$529.05	-1.1%	3.07%	$600.00 MS	+13%	Hold → add on gate	≤ $520 after Oct 28	≤ $490	Stop > $580	FQ1 Oct 28 (pm)	12% below MS FV; strongest self-funding profile in the cluster.
GOOG Alphabet C	$336.91	-3.1%	2.83%	$433.00 MS	+29%	Hold → add on gate	≤ $340 after Oct 28	≤ $315	Stop > $390	Q3 Oct 28 (pm)	22% below MS FV; a self-funder. Wait for capex/FCF disclosure before adding.
META Meta Platforms	$709.33	-1.3%	2.59%	$850.00 MS	+20%	Hold → add on gate	≤ $700 after Oct 21	≤ $650	Stop > $790	Q3 Oct 21 (pm)	Named alongside GOOG in the AI-debt/cash-flow debate. Print must show capex funded from cash flow.
AMZN Amazon	$250.00	-4.7%	7.53%	$300.00 MS	+20%	Hold — no new money	No adds — weight-gated	—	Trim review > 8% (~$265)	Q3 Oct 29 (pm)	7.5% weight even after the dip; 17% below MS FV. Hold the compounder; the cap binds.
AAPL Apple	$343.46	+2.0%	6.77%	$290.00 MS	-16%	Hold — no new money	No adds	—	Trim review > 8% (~$405)	FQ4 Nov 2 (pm)	18% above MS FV at 6.7% weight. Hold; do not trim a compounder on valuation alone.

Software, platforms and media · 5.6% of book · week $1,680

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
UBER Uber	$70.35	-1.6%	0.31%	$90.61 House PW	+29%	Staged add	≤ $72	≤ $66	Stop > $82	Q3 Nov 4 (am)	~29% to $90.61 house PW value. One tranche before the print, the rest after.
ADBE Adobe	$245.20	+1.2%	0.48%	$344.00 Workbook	+40%	Staged add	≤ $240	≤ $225	Stop > $290	FQ4 mid-Dec	$245 sits 2% above the add gate; 29% below the ~$344 workbook value.
CRM Salesforce	$240.70	+5.0%	1.38%	$270.00 MS	+12%	Hold — no new money	No adds; funding-source candidate	—	Re-evaluate at Dec print	FQ3 early Dec	+5.0% on the week with software; ~11% below MS FV.
NFLX Netflix	$70.53	+0.3%	2.04%	$80.00 MS	+13%	Hold → add on gate	≤ $65 after Oct 20	—	—	Q3 Oct 20 (pm)	12% below MS FV. Uncovered — formal write-up needed before adding.
DIS Disney	$110.59	+2.4%	1.26%	$125.00 MS	+13%	Hold	≤ $100 if underwritten	—	—	FQ4 mid-Nov	Uncovered; 12% below MS FV.

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
BATRA Atlanta Braves A	$54.00	-6.2%	0.08%	$53.77 MS	-0%	Hold	—	—	—	Q3 Nov 4	Immaterial (0.08%).

Healthcare · 2.5% of book · week $1,512

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
UNH UnitedHealth	$401.43	+5.8%	1.17%	$444.00 House PW	+11%	Hold → add on gate	≤ $380	≤ $360	Stop > $430	Q4 Jan	Q3 beat confirmed; $401 is ~10% below $444 PW. No chasing the print.
GEHC GE HealthCare	$69.57	+5.8%	0.21%	$88.00 MS	+26%	Hold	Accumulate ≤ $63 or after margin proof	≤ $60	Stop > $75	Q3 Oct 28 (am)	House re-underwrite: hold the starter; $69.57 sits in the hold-don't-add band.
BMY Bristol-Myers	$59.75	+1.1%	1.11%	$70.00 MS	+17%	Hold — no new money	No adds	—	—	Q3 Oct 29 (am)	Uncovered.

Financials and payments · 22.7% of book · week $8,084

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
JPM JPMorgan Chase	$339.72	+2.0%	7.04%	$326.00 MS	-4%	Hold — no new money	No adds	—	Trim review > 8% (~$385)	Reported Oct 13	Financials/payments sleeve ~22% of the book.
MA Mastercard	$617.42	+4.8%	6.19%	$550.00 MS	-11%	Hold — no new money	No adds	—	Trim review > 8% (~$800)	Q3 Oct 29 (am)	Up 4.8% on the week; 12% above MS FV.
GS Goldman Sachs	$881.26	-1.6%	5.36%	$730.00 MS	-17%	Hold — no new money	No adds	—	Trim review > 8%	Reported Oct 13	21% above MS FV; large embedded gain.
V Visa	$402.61	+4.5%	2.33%	$330.00 MS	-18%	Hold — no new money	No adds	—	—	FQ4 Oct 27 (pm)	22% above MS FV.
AXP American Express	$313.59	+1.8%	1.82%	$341.00 MS	+9%	Hold — no new money	No adds — sector-gated	—	—	Q3 Oct 23 (am)	8% below MS FV, but the payments sleeve is full.

Defensive / income · 14.7% of book · week $10,576

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
XOM ExxonMobil	$178.98	+5.9%	3.93%	$156.00 MS	-13%	Hold — no new money	No adds	—	—	Q3 Oct 30 (am)	+5.9% with oil > $100; 15% above MS FV. The book's only working hedge this week.
KO Coca-Cola	$93.90	+6.6%	1.60%	$75.00 MS	-20%	Hold — no new money	No adds	—	—	Q3 Oct 27 (am)	+6.6% in the defensive rotation; 25% above MS FV.
PEP PepsiCo	$131.49	+4.4%	1.26%	$169.00 MS	+29%	Hold — no new money	No adds	—	—	—	+4.4%; still 22% below MS FV.
PM Philip Morris	$205.20	+2.0%	2.15%	$185.00 MS	-10%	Hold — no new money	No adds	—	—	Q3 Oct 21 (am)	11% above MS FV.
SO Southern Co	$91.18	+5.8%	2.01%	$83.00 MS	-9%	Hold — no new money	No adds	—	—	Q3 Nov 5 (am)	+5.8%; 10% above MS FV.
AMT American Tower	$185.27	+1.7%	2.49%	$225.00 MS	+21%	Hold — no new money	No adds	—	—	Q3 Oct 27 (am)	18% below MS FV; rate-sensitive.
SCHD Schwab US Dividend	$34.35	+4.0%	1.21%	—	—	Hold — no new money	No adds	—	—	—	Income vehicle; no growth-mandate case for new money.

Funds and diversifiers · 21.3% of book · week −$5,589

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
VXUS Vanguard Total Intl	$83.43	-1.6%	2.58%	—	—	Priority — fund now	Fund now (2/3 of new capital)	—	Gap to 10% target	—	Unchanged at 534 sh for four workbooks; the diversifier for exactly this tape.
AVUV Avantis US SCV	$120.08	+0.4%	1.80%	—	—	Priority — fund now	Fund now (1/3 of new capital)	—	Gap to 5% target	—	Small-cap value finished the week +0.4% while the Nasdaq fell 4.5%.
TLXIX Nuveen Lifecycle 2045	$39.48	-1.3%	9.36%	—	—	Trim review	—	—	Above 8% hard ceiling	—	Largest position; bond glide path conflicts with the mandate. Trim proceeds → VXUS/AVUV.

Holding	Oct 16	Week	Weight	Value ref.	Upside	Posture	Add gate	Aggressive	Stop / trim review	Next catalyst	Analyst note
VFFSX Vanguard 500 Inst Select	$374.73	-2.0%	2.17%	—	—	Hold	—	—	—	—	Core index.
FSSNX Fidelity Small Cap Index	$34.18	-3.0%	1.73%	—	—	Hold	—	—	Small-cap overlap — 4th funding source	—	Overlaps VTWO.
FSMDX Fidelity Mid Cap Index	$41.54	-1.5%	1.76%	—	—	Hold	—	—	—	—	403(b); cannot fund VXUS/AVUV directly.
IJH iShares Core Mid-Cap	$72.35	-1.5%	1.14%	—	—	Hold	—	—	—	—	401(k); cannot fund VXUS/AVUV directly.
VTWO Vanguard Russell 2000	$109.25	-3.0%	0.80%	—	—	Hold	—	—	Small-cap overlap — 4th funding source	—	Overlaps FSSNX.

Concentration and sizing check

Position limits (6–8% soft cap; 8% hard ceiling)

- **TLXIX 9.4%** — over the ceiling. Trim review open; proceeds to VXUS/AVUV.
- **AMZN 7.5%**, **JPM 7.0%**, **AAPL 6.8%**, **MA 6.2%** — inside the soft band. No adds; trim review only above 8%.
- **NVDA 0.66%** vs. ~0.5% guideline — the only individual name where sizing, not price, blocks the add.

Cluster exposure

- **AI infrastructure cluster 8.0%** (NVDA, AVGO, TSM, ASML, QCOM, GEV, GRID, SOXQ, VIS). Direct semis 5.5%.
- **Hyperscalers 16.0%** (AMZN, MSFT, GOOG, META) — they pay for the capex the cluster sells into, so the two sleeves share one driver: 24.0% of the book.
- **Financials & payments 22.7%** — the largest single factor exposure; gated for adds.
- **Diversifiers 4.4%** vs. a 15% target — the gap is the book's main construction weakness.

> **Sequencing rule for any add above.** TSM, ASML, NVDA and AVGO are one supply chain. An ASML tranche should replace, not supplement, further NVDA. Keep direct semis at or below ~6% until the hyperscaler prints confirm capex.

Catalyst calendar — next three weeks

Date	Event	Gate it decides
Oct 20	NFLX Q3 (pm)	NFLX add ≤$65 only after a formal write-up.
Oct 21	META Q3 (pm); PM (am)	META ≤$700 if capex stays funded from cash flow. First hyperscaler read on AI financing.
Oct 23	AXP Q3 (am)	Payments sleeve; stays gated.
Oct 27	V (pm); KO, AMT (am)	Income names — no gate changes expected.
Oct 27–28	FOMC	~17% hike odds; a surprise hike pressures every staged add.
Oct 28	MSFT, GOOG (pm); GEV, GEHC (am)	The key day. Hyperscaler capex guides set the regime for TSM/ASML/NVDA/AVGO; GEV vs. $875; GEHC margin proof.
Oct 29	AMZN (pm); MA, BMY (am)	AWS capex; AMZN remains weight-gated.
Oct 30	XOM (am)	Oil-shock beneficiary; no adds.
Nov 2–5	AAPL (Nov 2); UBER, QCOM (Nov 4); SO (Nov 5)	UBER second tranche post-print; QCOM ≤$150.
~Nov 18	NVDA Q3 FY27	Sizing decision; strip CoreWeave mark-to-market.

Risks and counterarguments

Against buying the dip

- Gartner's impairment work is the first mainstream estimate that a meaningful share of AI capex earns no return. If hyperscalers agree, supplier estimates fall, not just multiples.
- Oil above $100 plus 3.7% CPI keeps the Fed hawkish; ~89% December hike odds is a real headwind for long-duration growth.
- Eight straight down sessions in semis can be capitulation — or the first leg. Staging, not lump-sum, is the answer to that uncertainty.

Against standing still

- TSM at ~20% below PW value and ASML at ~27% below base came with beat-and-raise quarters — the cleanest fundamental/price divergence in the book this year.
- The book is under-diversified exactly where this tape hurts: diversifiers are 4.4% vs. a 15% target. Funding them is low-regret in any scenario.
- A 10-year horizon backed by an $80K pension floor means drawdowns are an input, not a threat — provided position limits hold.

Thesis-break watch: (1) any hyperscaler cuts FY27 capex guidance; (2) Taiwan Strait or export-control escalation (TSM, ASML); (3) the 10-year durably above ~5.3% with an October hike; (4) credit stress spreading from neoclouds to investment-grade AI issuers.

Methodology and sources

1. **Holdings:** retirement-portfolio-53.xlsx (Export sheet, modified 2026-09-29 00:49 UTC — latest by workbook timestamp). Overlay of v61 changes as documented in Retirement_Portfolio_Capital_Allocation_Ranking_2026-10-15 (Investments project), back-solved from its reported live weights.
2. **Prices:** Robinhood regular-session daily bars and quotes, Oct 9 and Oct 16, 2026 closes. Mutual funds scaled from v53 NAV by AOA (TLXIX), SPY (VFFSX), VTWO (FSSNX) and IJH (FSMDX).
3. **House values:** UBER PW $90.61 (Sep 25); TSM PW $515, band $400–435 (Oct 15); ASML base $2,088 (Oct 14); UNH PW $444 (Oct 13); GEV base ~$935, zone $850–875 (Sep 18); GEHC_Fundamental_Analysis_Oct2026 (hold, accumulate ≤~$63, stop >~$75); NVDA Aug 28 entry assessment and Oct 8 registry ($205–220, ~0.5% guideline). New gates set in this report: GRID, MSFT, GOOG, META, ADBE aggressive, UNH, QCOM, NFLX.
4. **Earnings dates:** Robinhood earnings calendar, Oct 19–Nov 13, 2026.
5. **Market and macro:** Portfolio Terminal, week in review Oct 12–16 (portfolio-terminal.com/blog/stock-market-week-in-review-october-16-2026); TheStreet, Stock Market Today Oct 16 (thestreet.com); Quartz, Nasdaq falls 2% as chip selloff continues (qz.com); Gartner press release, Oct 14, 2026 (gartner.com/en/newsroom); 24/7 Wall St., Broadcom's CEO compared AI investors to gamblers, Oct 13 (247wallst.com).

Analytical judgments are the analyst's. Gates are decision levels, not price targets. Not investment advice beyond its use as internal research for the portfolio manager.

Prepared Oct 18, 2026 for the Investments portfolio. Prices are Oct 16 closes; the next edition should mark from a fresh export.